

**SUBSTITUTE FOR
HOUSE BILL NO. 5872**

A bill to amend 1893 PA 206, entitled
"The general property tax act,"
by amending section 27a (MCL 211.27a), as amended by 2016 PA 375.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 27a. (1) Except as otherwise provided in this section,
2 property ~~shall~~**must** be assessed at 50% of its true cash value under
3 section 3 of article IX of the state constitution of 1963.

4 (2) Except as otherwise provided in subsection (3), for taxes
5 levied in 1995 and for each year after 1995, the taxable value of
6 each parcel of property is the lesser of the following:

7 (a) The property's taxable value in the immediately preceding
8 year minus any losses, multiplied by the lesser of 1.05 or the
9 inflation rate, plus all additions. For taxes levied in 1995, the



1 property's taxable value in the immediately preceding year is the
2 property's state equalized valuation in 1994.

3 (b) The property's current state equalized valuation.

4 (3) Upon a transfer of ownership of property after 1994, the
5 property's taxable value for the calendar year following the year
6 of the transfer is the property's state equalized valuation for the
7 calendar year following the transfer.

8 (4) If the taxable value of property is adjusted under
9 subsection (3), a subsequent increase in the property's taxable
10 value is subject to the limitation set forth in subsection (2)
11 until a subsequent transfer of ownership occurs. If the taxable
12 value of property is adjusted under subsection (3) and the assessor
13 determines that there had not been a transfer of ownership, the
14 taxable value of the property ~~shall~~**must** be ~~adjusted~~**corrected** at
15 the July or December board of review. Notwithstanding the
16 limitation provided in section 53b(1) on the number of years for
17 which a correction may be made, the July or December board of
18 review may ~~adjust~~**correct** the taxable value of property under this
19 subsection for the current year and for the 3 immediately preceding
20 calendar years. A corrected tax bill ~~shall~~**must** be issued for each
21 tax year for which the taxable value is ~~adjusted~~**corrected** by the
22 local tax collecting unit if the local tax collecting unit has
23 possession of the tax roll or by the county treasurer if the county
24 has possession of the tax roll. For purposes of section 53b, ~~an~~
25 ~~adjustment~~**a correction** under this subsection ~~shall~~**must** be
26 considered the correction of a clerical error.

27 (5) Assessment of property, as required in this section and
28 section 27, is inapplicable to the assessment of property subject
29 to the levy of ad valorem taxes within voted tax limitation



1 increases to pay principal and interest on limited tax bonds issued
2 by any governmental unit, including a county, township, community
3 college district, or school district, before January 1, 1964, if
4 the assessment required to be made under this act would be less
5 than the assessment as state equalized prevailing on the property
6 at the time of the issuance of the bonds. This inapplicability
7 continues until levy of taxes to pay principal and interest on the
8 bonds is no longer required. The assessment of property required by
9 this act applies for all other purposes.

10 (6) As used in this act, "transfer of ownership" means the
11 conveyance of title to or a present interest in property, including
12 the beneficial use of the property, the value of which is
13 substantially equal to the value of the fee interest. Transfer of
14 ownership of property includes, but is not limited to, the
15 following:

16 (a) A conveyance by deed.

17 (b) A conveyance by land contract. The taxable value of
18 property conveyed by a land contract executed after December 31,
19 1994 ~~shall~~**must** be adjusted under subsection (3) for the calendar
20 year following the year in which the contract is entered into and
21 ~~shall~~**must** not be subsequently adjusted under subsection (3) when
22 the deed conveying title to the property is recorded in the office
23 of the register of deeds in the county in which the property is
24 located.

25 (c) A conveyance to a trust after December 31, 1994, except
26 under any of the following conditions:

27 (i) If the settlor or the settlor's spouse, or both, conveys
28 the property to the trust and the sole present beneficiary or
29 beneficiaries are the settlor or the settlor's spouse, or both.



1 (ii) Beginning December 31, 2014, for residential real
2 property, if the settlor or the settlor's spouse, or both, conveys
3 the residential real property to the trust and the sole present
4 beneficiary or beneficiaries are the settlor's or the settlor's
5 spouse's mother, father, brother, sister, son, daughter, adopted
6 son, adopted daughter, grandson, or granddaughter and the
7 residential real property is not used for any commercial purpose
8 following the conveyance. Upon request by the department of
9 treasury or the assessor, the sole present beneficiary or
10 beneficiaries shall furnish proof within 30 days that the sole
11 present beneficiary or beneficiaries meet the requirements of this
12 subparagraph. If a present beneficiary fails to comply with a
13 request by the department of treasury or assessor under this
14 subparagraph, that present beneficiary is subject to a fine of
15 \$200.00.

16 (d) A conveyance by distribution from a trust, except under
17 any of the following conditions:

18 (i) If the distributee is the sole present beneficiary or the
19 spouse of the sole present beneficiary, or both.

20 (ii) Beginning December 31, 2014, a distribution of residential
21 real property if the distributee is the settlor's or the settlor's
22 spouse's mother, father, brother, sister, son, daughter, adopted
23 son, adopted daughter, grandson, or granddaughter and the
24 residential real property is not used for any commercial purpose
25 following the conveyance. Upon request by the department of
26 treasury or the assessor, the sole present beneficiary or
27 beneficiaries shall furnish proof within 30 days that the sole
28 present beneficiary or beneficiaries meet the requirements of this
29 subparagraph. If a present beneficiary fails to comply with a



1 request by the department of treasury or assessor under this
2 subparagraph, that present beneficiary is subject to a fine of
3 \$200.00.

4 (e) A change in the sole present beneficiary or beneficiaries
5 of a trust, except under any of the following conditions:

6 (i) A change that adds or substitutes the spouse of the sole
7 present beneficiary.

8 (ii) Beginning December 31, 2014, for residential real
9 property, a change that adds or substitutes the settlor's or the
10 settlor's spouse's mother, father, brother, sister, son, daughter,
11 adopted son, adopted daughter, grandson, or granddaughter and the
12 residential real property is not used for any commercial purpose
13 following the conveyance. Upon request by the department of
14 treasury or the assessor, the sole present beneficiary or
15 beneficiaries shall furnish proof within 30 days that the sole
16 present beneficiary or beneficiaries meet the requirements of this
17 subparagraph. If a present beneficiary fails to comply with a
18 request by the department of treasury or assessor under this
19 subparagraph, that present beneficiary is subject to a fine of
20 \$200.00.

21 (f) A conveyance by distribution under a will or by intestate
22 succession, except under any of the following conditions:

23 (i) If the distributee is the decedent's spouse.

24 (ii) Beginning December 31, 2014, for residential real
25 property, if the distributee is the decedent's or the decedent's
26 spouse's mother, father, brother, sister, son, daughter, adopted
27 son, adopted daughter, grandson, or granddaughter and the
28 residential real property is not used for any commercial purpose
29 following the conveyance. Upon request by the department of



1 treasury or the assessor, the sole present beneficiary or
2 beneficiaries shall furnish proof within 30 days that the sole
3 present beneficiary or beneficiaries meet the requirements of this
4 subparagraph. If a present beneficiary fails to comply with a
5 request by the department of treasury or assessor under this
6 subparagraph, that present beneficiary is subject to a fine of
7 \$200.00.

8 (g) A conveyance by lease if the total duration of the lease,
9 including the initial term and all options for renewal, is more
10 than 35 years or the lease grants the lessee a bargain purchase
11 option. As used in this subdivision, "bargain purchase option"
12 means the right to purchase the property at the termination of the
13 lease for not more than 80% of the property's projected true cash
14 value at the termination of the lease. After December 31, 1994, the
15 taxable value of property conveyed by a lease with a total duration
16 of more than 35 years or with a bargain purchase option ~~shall~~**must**
17 be adjusted under subsection (3), for the calendar year following
18 the year in which the lease is entered into. This subdivision does
19 not apply to personal property except buildings described in
20 section 14(6) and personal property described in section 8(h), (i),
21 and (j). This subdivision does not apply to that portion of the
22 property not subject to the leasehold interest conveyed.

23 (h) Except as otherwise provided in this subdivision, a
24 conveyance of an ownership interest in a corporation, partnership,
25 sole proprietorship, limited liability company, limited liability
26 partnership, or other legal entity if the ownership interest
27 conveyed is more than 50% of the corporation, partnership, sole
28 proprietorship, limited liability company, limited liability
29 partnership, or other legal entity. Unless notification is provided



1 under subsection (10), the corporation, partnership, sole
2 proprietorship, limited liability company, limited liability
3 partnership, or other legal entity shall notify the assessing
4 officer on a form provided by the state tax commission not more
5 than 45 days after a conveyance of an ownership interest that
6 constitutes a transfer of ownership under this subdivision. Both of
7 the following apply to a corporation subject to 1897 PA 230, MCL
8 455.1 to 455.24:

9 (i) A transfer of stock of the corporation is a transfer of
10 ownership only with respect to the real property that is assessed
11 to the transferor lessee stockholder.

12 (ii) A cumulative conveyance of more than 50% of the
13 corporation's stock does not constitute a transfer of ownership of
14 the corporation's real property.

15 (i) A transfer of property held as a tenancy in common, except
16 that portion of the property not subject to the ownership interest
17 conveyed.

18 (j) A conveyance of an ownership interest in a cooperative
19 housing corporation, except that portion of the property not
20 subject to the ownership interest conveyed.

21 (k) Notwithstanding the provisions of section 7ee(5), at the
22 request of a property owner, an assessor's establishment of a
23 separate tax parcel for a portion of a parcel that ceases to be
24 qualified agricultural property but is not subject to a land
25 division under the land division act, 1967 PA 288, MCL 560.101 to
26 560.293, or any local ordinance. For purposes of this subdivision,
27 a transfer of ownership occurs only as to that portion of the
28 parcel established as a separate tax parcel and only that portion,
29 ~~shall~~ **must** have its taxable value adjusted under subsection (3)



1 and ~~shall be~~ **is** subject to the recapture tax provided for under the
 2 agricultural property recapture act, 2000 PA 261, MCL 211.1001 to
 3 211.1007. The adjustment under subsection (3) ~~shall~~ **must** be made as
 4 of the December 31 in the year that the portion of the parcel
 5 established as a separate tax parcel ceases to be qualified
 6 agricultural property. A portion of a parcel subject to this
 7 subdivision is considered a separate tax parcel only for those
 8 purposes described in this subdivision.

9 (7) Transfer of ownership does not include the following:

10 (a) The transfer of property from 1 spouse to the other spouse
 11 or from a decedent to a surviving spouse.

12 (b) A transfer from ~~a husband, a wife, or a married couple~~ **1**
 13 **or both spouses** creating or disjoining a tenancy by the entireties
 14 in the grantors or the grantor and ~~his or her~~ **the grantor's** spouse.

15 (c) Subject to subdivision (d), a transfer of that portion of
 16 property subject to a life estate or life lease retained by the
 17 transferor, until expiration or termination of the life estate or
 18 life lease. That portion of property transferred that is not
 19 subject to a life lease ~~shall~~ **must** be adjusted under subsection
 20 (3).

21 (d) Beginning December 31, 2014, a transfer of that portion of
 22 residential real property that had been subject to a life estate or
 23 life lease retained by the transferor resulting from expiration or
 24 termination of that life estate or life lease, if the transferee is
 25 the transferor's or transferor's spouse's mother, father, brother,
 26 sister, son, daughter, adopted son, adopted daughter, grandson, or
 27 granddaughter and the residential real property is not used for any
 28 commercial purpose following the transfer. Upon request by the
 29 department of treasury or the assessor, the transferee shall



1 furnish proof within 30 days that the transferee meets the
2 requirements of this subdivision. If a transferee fails to comply
3 with a request by the department of treasury or assessor under this
4 subdivision, that transferee is subject to a fine of \$200.00.

5 (e) A transfer through foreclosure or forfeiture of a recorded
6 instrument under chapter 31, 32, or 57 of the revised judicature
7 act of 1961, 1961 PA 236, MCL 600.3101 to 600.3285 and MCL 600.5701
8 to 600.5759, or through deed or conveyance in lieu of a foreclosure
9 or forfeiture, until the mortgagee or land contract vendor
10 subsequently transfers the property. If a mortgagee does not
11 transfer the property within 1 year of the expiration of any
12 applicable redemption period, the property ~~shall~~**must** be adjusted
13 under subsection (3).

14 (f) A transfer by redemption by the person to whom taxes are
15 assessed of property previously sold for delinquent taxes.

16 (g) A conveyance to a trust if the settlor or the settlor's
17 spouse, or both, conveys the property to the trust and any of the
18 following conditions are satisfied:

19 (i) If the sole present beneficiary of the trust is the settlor
20 or the settlor's spouse, or both.

21 (ii) Beginning December 31, 2014, for residential real
22 property, if the sole present beneficiary of the trust is the
23 settlor's or the settlor's spouse's mother, father, brother,
24 sister, son, daughter, adopted son, adopted daughter, grandson, or
25 granddaughter and the residential real property is not used for any
26 commercial purpose following the conveyance. Upon request by the
27 department of treasury or the assessor, the sole present
28 beneficiary or beneficiaries shall furnish proof within 30 days
29 that the sole present beneficiary or beneficiaries meet the



1 requirements of this subparagraph. If a present beneficiary fails
2 to comply with a request by the department of treasury or assessor
3 under this subparagraph, that present beneficiary is subject to a
4 fine of \$200.00.

5 (h) A transfer pursuant to a judgment or order of a court of
6 record making or ordering a transfer, unless a specific monetary
7 consideration is specified or ordered by the court for the
8 transfer.

9 (i) A transfer creating or terminating a joint tenancy between
10 2 or more persons if at least 1 of the persons was an original
11 owner of the property before the joint tenancy was initially
12 created and, if the property is held as a joint tenancy at the time
13 of conveyance, at least 1 of the persons was a joint tenant when
14 the joint tenancy was initially created and that person has
15 remained a joint tenant since the joint tenancy was initially
16 created. A joint owner at the time of the last transfer of
17 ownership of the property is an original owner of the property. For
18 purposes of this subdivision, a person is an original owner of
19 property owned by that person's spouse.

20 (j) A transfer for security or an assignment or discharge of a
21 security interest.

22 (k) A transfer of real property or other ownership interests
23 among members of an affiliated group. As used in this subsection,
24 "affiliated group" means 1 or more corporations connected by stock
25 ownership to a common parent corporation. Upon request by the state
26 tax commission, a corporation shall furnish proof within 45 days
27 that a transfer meets the requirements of this subdivision. A
28 corporation that fails to comply with a request by the state tax
29 commission under this subdivision is subject to a fine of \$200.00.



1 (l) Normal public trading of shares of stock or other ownership
2 interests that, over any period of time, cumulatively represent
3 more than 50% of the total ownership interest in a corporation or
4 other legal entity and are traded in multiple transactions
5 involving unrelated individuals, institutions, or other legal
6 entities.

7 (m) A transfer of real property or other ownership interests
8 among corporations, partnerships, limited liability companies,
9 limited liability partnerships, or other legal entities if the
10 entities involved are commonly controlled. Upon request by the
11 state tax commission, a corporation, partnership, limited liability
12 company, limited liability partnership, or other legal entity shall
13 furnish proof within 45 days that a transfer meets the requirements
14 of this subdivision. A corporation, partnership, limited liability
15 company, limited liability partnership, or other legal entity that
16 fails to comply with a request by the state tax commission under
17 this subdivision is subject to a fine of \$200.00.

18 (n) A direct or indirect transfer of real property or other
19 ownership interests resulting from a transaction that qualifies as
20 a tax-free reorganization under section 368 of the internal revenue
21 code, 26 USC 368. Upon request by the state tax commission, a
22 property owner shall furnish proof within 45 days that a transfer
23 meets the requirements of this subdivision. A property owner who
24 fails to comply with a request by the state tax commission under
25 this subdivision is subject to a fine of \$200.00.

26 (o) Except as provided in subsection (6)(k), a transfer of
27 qualified agricultural property, if the person to whom the
28 qualified agricultural property is transferred files an affidavit
29 with the assessor of the local tax collecting unit in which the



1 qualified agricultural property is located and with the register of
 2 deeds for the county in which the qualified agricultural property
 3 is located attesting that the qualified agricultural property will
 4 remain qualified agricultural property. The affidavit under this
 5 subdivision ~~shall~~**must** be in a form prescribed by the department of
 6 treasury. An owner of qualified agricultural property shall inform
 7 a prospective buyer of that qualified agricultural property that
 8 the qualified agricultural property is subject to the recapture tax
 9 provided in the agricultural property recapture act, 2000 PA 261,
 10 MCL 211.1001 to 211.1007, if the qualified agricultural property is
 11 converted by a change in use, as that term is defined in section 2
 12 of the agricultural property recapture act, 2000 PA 261, MCL
 13 211.1002. If property ceases to be qualified agricultural property
 14 at any time after a transfer subject to this subdivision, all of
 15 the following ~~shall occur~~**apply**:

16 (i) The taxable value of that property, or, if subsection
 17 (6)(k) applies, a portion of it established as a separate tax
 18 parcel, ~~shall~~**must** be adjusted under subsection (3) as of the
 19 December 31 in the year that the property, or, if subsection (6)(k)
 20 applies, a portion of it established as a separate tax parcel,
 21 ceases to be qualified agricultural property.

22 (ii) The property, or, if subsection (6)(k) applies, a portion
 23 of it established as a separate tax parcel, is subject to the
 24 recapture tax provided for under the agricultural property
 25 recapture act, 2000 PA 261, MCL 211.1001 to 211.1007.

26 (p) A transfer of qualified forest property, if the person to
 27 whom the qualified forest property is transferred files a qualified
 28 forest taxable value affidavit with the assessor of the local tax
 29 collecting unit in which the qualified forest property is located



1 and with the register of deeds for the county in which the
 2 qualified forest property is located attesting that the qualified
 3 forest property will remain qualified forest property. The
 4 qualified forest taxable value affidavit under this subdivision
 5 ~~shall~~**must** be in a form prescribed by the department of agriculture
 6 and rural development. The qualified forest taxable value affidavit
 7 ~~shall~~**must** include a legal description of the qualified forest
 8 property, the name of the new property owner, the year the transfer
 9 of the property occurred, a statement indicating that the property
 10 owner is attesting that the property for which the exemption is
 11 claimed is qualified forest property and will be managed according
 12 to the approved forest management plan, and any other information
 13 pertinent to the parcel and the property owner. The property owner
 14 shall provide a copy of the qualified forest taxable value
 15 affidavit to the department. The department shall provide 1 copy of
 16 the qualified forest taxable value affidavit to the local tax
 17 collecting unit, 1 copy to the conservation district, and 1 copy to
 18 the department of treasury. These copies may be sent
 19 electronically. The exception to the recognition of a transfer of
 20 ownership, as ~~herein stated~~, **provided in this subdivision**, extends
 21 to the land only of the qualified forest property. If qualified
 22 forest property is improved by buildings, structures, or land
 23 improvements, then those improvements ~~shall~~**must** be recognized as a
 24 transfer of ownership, in accordance with the provisions of section
 25 7jj[1]. An owner of qualified forest property shall inform a
 26 prospective buyer of that qualified forest property that the
 27 qualified forest property is subject to the recapture tax provided
 28 in the qualified forest property recapture tax act, 2006 PA 379,
 29 MCL 211.1031 to 211.1036, if the qualified forest property is



converted by a change in use, as that term is defined in section 2 of the qualified forest property recapture tax act, 2006 PA 379, MCL 211.1032. If property ceases to be qualified forest property at any time after being transferred, all of the following ~~shall~~

~~occur~~**apply:**

(i) The taxable value of that property ~~shall~~**must** be adjusted under subsection (3) as of the December 31 in the year that the property ceases to be qualified forest property, except to the extent that the transfer of the qualified forest property would not have been considered a transfer of ownership under this subsection.

(ii) Except as otherwise provided in subparagraph (iii), the property is subject to the recapture tax provided for under the qualified forest property recapture tax act, 2006 PA 379, MCL 211.1031 to 211.1036.

(iii) Beginning June 1, 2013 and ending November 30, 2013, owners of property enrolled as qualified forest property before January 1, 2013 may execute a new qualified forest taxable value affidavit with the department of agriculture and rural development. If a landowner elects to execute a qualified forest taxable value affidavit, that owner is not required to pay the \$50.00 fee required under section 7jj[1](2). If a landowner elects not to execute a qualified forest taxable value affidavit, the existing affidavit ~~shall~~**must** be rescinded, without subjecting the property to the recapture tax provided for under the qualified forest property recapture tax act, 2006 PA 379, MCL 211.1031 to 211.1036, and the taxable value of that property ~~shall~~**must** be adjusted under subsection (3).

(q) Beginning on December 8, 2006, a transfer of land, but not buildings or structures located on the land, ~~which~~**that** meets 1 or



1 more of the following requirements:

2 (i) The land is subject to a conservation easement under
3 subpart 11 of part 21 of the natural resources and environmental
4 protection act, 1994 PA 451, MCL 324.2140 to 324.2144. As used in
5 this subparagraph, "conservation easement" means that term as
6 defined in section 2140 of the natural resources and environmental
7 protection act, 1994 PA 451, MCL 324.2140.

8 (ii) A transfer of ownership of the land or a transfer of an
9 interest in the land is eligible for a deduction as a qualified
10 conservation contribution under section 170(h) of the internal
11 revenue code, 26 USC 170.

12 (r) A transfer of real property or other ownership interests
13 resulting from a consolidation or merger of a domestic nonprofit
14 corporation that is a ~~boy~~**Boy** or ~~girl scout~~**Girl Scout** or ~~camp fire~~
15 ~~girls~~**Camp Fire Girls** organization, a 4-H club or foundation, a
16 ~~young men's~~**Young Men's** Christian ~~association~~**Association**, or a
17 ~~young women's~~**Young Women's** Christian ~~association~~**Association** and
18 at least 50% of the members of that organization or association are
19 residents of this state.

20 (s) A change to the assessment roll or tax roll resulting from
21 the application of section 16a of 1897 PA 230, MCL 455.16a.

22 (t) Beginning December 31, 2013 through December 30, 2014, a
23 transfer of residential real property if the transferee is related
24 to the transferor by blood or affinity to the first degree and the
25 use of the residential real property does not change following the
26 transfer.

27 (u) Beginning December 31, 2014, a transfer of residential
28 real property if the transferee is the transferor's or the
29 transferor's spouse's mother, father, brother, sister, son,



1 daughter, adopted son, adopted daughter, grandson, or granddaughter
 2 and the residential real property is not used for any commercial
 3 purpose following the conveyance. Upon request by the department of
 4 treasury or the assessor, the transferee shall furnish proof within
 5 30 days that the transferee meets the requirements of this
 6 subdivision. If a transferee fails to comply with a request by the
 7 department of treasury or assessor under this subdivision, that
 8 transferee is subject to a fine of \$200.00.

9 (v) Beginning December 31, 2014, for residential real
 10 property, a conveyance from a trust if the person to whom the
 11 residential real property is conveyed is the settlor's or the
 12 settlor's spouse's mother, father, brother, sister, son, daughter,
 13 adopted son, adopted daughter, grandson, or granddaughter and the
 14 residential real property is not used for any commercial purpose
 15 following the conveyance. Upon request by the department of
 16 treasury or the assessor, the sole present beneficiary or
 17 beneficiaries shall furnish proof within 30 days that the sole
 18 present beneficiary or beneficiaries meet the requirements of this
 19 subdivision. If a present beneficiary fails to comply with a
 20 request by the department of treasury or assessor under this
 21 subdivision, that present beneficiary is subject to a fine of
 22 \$200.00.

23 (w) Beginning on March 31, 2015, a conveyance of land by
 24 distribution under a will or trust or by intestate succession, but
 25 not buildings or structures located on the land, ~~which~~**that** meets 1
 26 or more of the following requirements:

27 (i) The land is made subject to a conservation easement under
 28 subpart 11 of part 21 of the natural resources and environmental
 29 protection act, 1994 PA 451, MCL 324.2140 to 324.2144, ~~prior to~~



1 **before** the conveyance by distribution under a will or trust or by
 2 intestate succession. As used in this subparagraph, "conservation
 3 easement" means that term as defined in section 2140 of the natural
 4 resources and environmental protection act, 1994 PA 451, MCL
 5 324.2140.

6 (ii) The land or an interest in the land is made eligible for a
 7 deduction as a qualified conservation contribution under section
 8 170(h) of the internal revenue code, 26 USC 170, ~~prior to~~ **before**
 9 the conveyance by distribution under a will or trust or by
 10 intestate succession.

11 (x) A conveyance of property under section 2120a(6) of the
 12 natural resources and environmental protection act, 1994 PA 451,
 13 MCL 324.2120a.

14 **(y) Beginning December 31, 2026, for purposes of subsections**
 15 **(3) and (4) only, a conveyance of title to or a present interest in**
 16 **any property.**

17 (8) If all of the following conditions are satisfied, the
 18 local tax collecting unit shall revise the taxable value of
 19 qualified agricultural property taxable on the tax roll in the
 20 possession of that local tax collecting unit to the taxable value
 21 that qualified agricultural property would have had if there had
 22 been no transfer of ownership of that qualified agricultural
 23 property since December 31, 1999 and there had been no adjustment
 24 of that qualified agricultural property's taxable value under
 25 subsection (3) since December 31, 1999:

26 (a) The qualified agricultural property was qualified
 27 agricultural property for taxes levied in 1999 and each year after
 28 1999.

29 (b) The owner of the qualified agricultural property files an



1 affidavit with the assessor of the local tax collecting unit under
2 subsection (7) (o).

3 (9) If the taxable value of qualified agricultural property is
4 adjusted under subsection (8), the owner of that qualified
5 agricultural property is not entitled to a refund for any property
6 taxes collected under this act on that qualified agricultural
7 property before the adjustment under subsection (8).

8 (10) The register of deeds of the county where deeds or other
9 title documents are recorded shall notify the assessing officer of
10 the appropriate local taxing unit not less than once each month of
11 any recorded transaction involving the ownership of property and
12 shall make any recorded deeds or other title documents available to
13 that county's tax or equalization department. Unless notification
14 is provided under subsection (6), the buyer, grantee, or other
15 transferee of the property shall notify the appropriate assessing
16 office in the local unit of government in which the property is
17 located of the transfer of ownership of the property within 45 days
18 of the transfer of ownership, on a form prescribed by the state tax
19 commission that states the parties to the transfer, the date of the
20 transfer, the actual consideration for the transfer, and the
21 property's parcel identification number or legal description. Forms
22 filed in the assessing office of a local unit of government under
23 this subsection ~~shall~~**must** be made available to the county tax or
24 equalization department for the county in which that local unit of
25 government is located. This subsection does not apply to personal
26 property except buildings described in section 14(6) and personal
27 property described in section 8(h), (i), and (j).

28 (11) As used in this section:

29 (a) "Additions" means that term as defined in section 34d.



1 (b) "Beneficial use" means the right to possession, use, and
2 enjoyment of property, limited only by encumbrances, easements, and
3 restrictions of record.

4 (c) "Commercial purpose" means used in connection with any
5 business or other undertaking intended for profit, but does not
6 include the rental of residential real property for a period of
7 less than 15 days in a calendar year.

8 (d) "Inflation rate" means that term as defined in section
9 34d.

10 (e) "Losses" means that term as defined in section 34d.

11 (f) "Qualified agricultural property" means that term as
12 defined in section 7dd.

13 (g) "Qualified forest property" means that term as defined in
14 section 7jj[1].

15 (h) "Residential real property" means real property classified
16 as residential real property under section 34c.